

1114I

Management Studies Tripos

**CORE MODULE
COURSEWORK**

MS1

Organisational Behaviour

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Introduction

In organisational behaviour, motivation is the processes determining the intensity and persistence of effort to attain organisational goals (Robbins and Judge, 2019). Motivated employees are desirable to organisations because individual performance is a function of motivation and ability (MS1, Motivation). Individual performance is in turn a determinant of organisational effectiveness. These relationships show why organisations may aim to increase employee motivation. This essay will explore how motivated Octopus' employees are likely to be, based on the fit between the theories' tenets and Octopus' practices.

Maslow's Hierarchy of Needs

Maslow's hierarchy of needs (1943) is a content-based theory suggesting five universal needs (Fig.1) that motivate employees when satisfied. The hierarchical nature of these needs has two implications. First, "growth" (self-fulfilment and psychological) needs do not affect motivation until "deficiency" (basic) needs are satisfied. Second, once a need is satisfied, the need above this in the hierarchy becomes dominant (Kanfer et al., 2017).

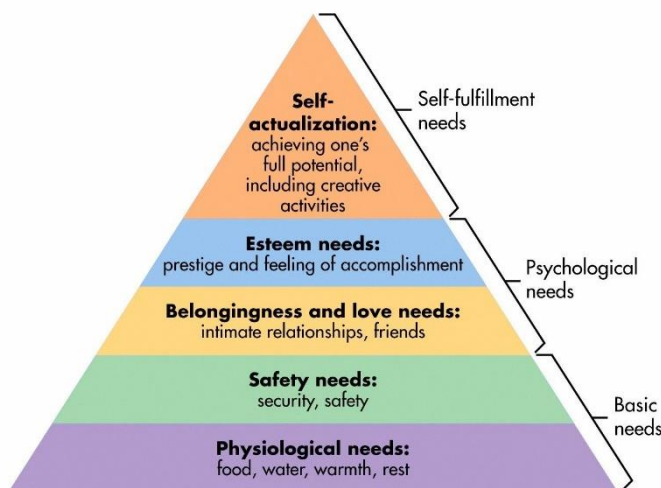


Figure 1: Maslow's Hierarchy of Needs (McLeod, 2020).

As Octopus' salary equals the industry mean, I will assume its employees have adequate financial resources to satisfy their deficiency needs. Focusing on belongingness needs, Octopus provides "many opportunities for social interactions" – perhaps company holidays or social clubs. These practices allow employees to develop closer relationships, thus becoming friends as well as colleagues. Additionally, giving employees freedom in choosing vacations will further fulfil their belongingness needs. This flexibility could allow employees to attend more social events, thus form more relationships, than employees of competitors with rigid vacation policies. This of course assumes that Octopus offers the same *number* of vacations as said competitor.

Moving up the hierarchy, esteem needs include the desire for self-respect and peer recognition. Octopus allows employees to spend 30% of working hours on personal development, or creating and leading their own projects. Employees can develop their self-respect by improving their skills through personal development, and can also gain peer recognition where selected to lead their own projects. To further satisfy esteem needs, Octopus' managers should recognise the success of employee-led projects. These same policies will also satisfy employees' need for self-actualisation. The freedom to pursue personal development, perhaps guided by a mentor, will enable employees to achieve their full potential. The freedom to design their own projects empowers employees to implement their own creative ideas, another component of self-actualisation. Assuming employees can generate novel and useful ideas, allowing them to implement these ideas will make Octopus a more innovative company (MS1, Creativity and Innovation).

Octopus' practices satisfy Maslow's higher-order needs; therefore, this theory would conclude its employees will be highly motivated.

McClelland's Three Needs Theory

McClelland posits individuals are universally motivated by the need for achievement (*nAch*), power (*nPow*) and affiliation (*nAff*) (Robbins and Judge, 2019).

The need for achievement is the need to achieve personal goals and success. Octopus' practices satisfy employees' *nAch* by allocating 30% of working hours to self-selected projects and personal development. Presuming these self-selected tasks are performed successfully, employees will be able to achieve their personal goals. Second, the need for power refers to the need to influence the behaviour of others. Octopus employees can satisfy their *nPow* by leading their own projects because, in doing so, they will instruct their colleagues to perform tasks in pursuit of their self-selected goal. Third, the need for affiliation is the need for employees to have close interpersonal relationships. *nAff* is comparable to Maslow's belongingness need; Octopus' social gatherings should satisfy employees' *nAff* as these environments are conducive to relationship-forming. Further, giving employees flexibility in their vacations will give them scope to attend the social events that most satisfy their *nAff*.

Whilst *nAch*, *nPow* and *nAff* are universal, McClelland acknowledged that the level of each is determined by contextual factors. For example, employees from Eastern cultures may have a higher *nAff* and lower *nPow* than Western employees. If employees have a low *nPow*, having time to lead their own projects may not increase their motivation. Hence the "fit" between employee personality and Octopus' organisational practices affects employee motivation. Linking to this, person-organisation fit theory (Kristof, 1996) states that people self-select into organisations based on the fit between their personality and the organisation's culture. A good person-organisation fit also increases the likelihood of being selected (MS1, Culture). Because of Octopus' decision to publish its organisational practices on its website, individuals with a high *nAch* will see that Octopus would allow them to spend time pursuing their own goals. These individuals are therefore more likely to apply and be hired by Octopus, where these organisational practices will meet their needs, thus motivating them highly.

Self-Determination Theory

Self-determination theory (SDT) is a contemporary theory evolving from the work of Deci and Ryan (1985), who distinguish motivation based on the reason behind the effort. Intrinsic motivation is caused by the fulfilment of individual needs, particularly autonomy (Deci, 1972). These are internal factors. In contrast, extrinsic motivation is caused by external factors like money (MS1, Motivation).

Intrinsic motivation is a stronger predictor of performance than extrinsic motivation because people desire autonomy, meaning their actions are self-determined. According to SDT, performance-contingent extrinsic rewards increase extrinsic motivation, but can decrease intrinsic motivation by undermining employees' sense of self-determination. Because intrinsic motivation has a stronger effect on performance than extrinsic motivation, the net effect of extrinsic rewards upon performance is negative. Thus, SDT concludes money is detrimental to motivation and performance (Kim, 2020).

The autonomy given to Octopus' employees, who can choose how to spend 30% of their working hours, should increase their sense of self-determination thus intrinsic motivation. SDT states that this is highly correlated to job performance. Employees should also have a sufficient level of extrinsic motivation, given they will be paid the industry mean salary. The fact that this salary is not significantly above the industry mean could be beneficial as it will limit the extent to which employees' autonomy is undermined. It might also avoid the unethical behaviour the motivational effects of money can sometimes induce (MS1, Motivation).

However, it is unclear what specific levels of intrinsic and extrinsic motivation these factors will create. For example, it is unclear whether the proportion of time spent on self-selected tasks is sufficient to satisfy employees' need for autonomy. Additionally, we do not know to what extent the salary paid by Octopus will undermine this autonomy. Further, how Octopus administers its salary will determine whether the extrinsic reward will be autonomy-reducing or autonomy-supporting (Deci, 1972). Therefore, it is unclear how motivated Octopus' employees will be according to the tenets of SDT.

Concluding remarks

In conclusion, the theories explored suggest Octopus' practices will motivate its employees. Maslow's hierarchy of needs and McClelland's three needs are met by Octopus' practices and, applying self-determination theory, employees should be both intrinsically and extrinsically motivated due to the industry mean salary and large degree of autonomy given. These theories have varying degrees of empirical support. Assuming they are indeed robust, the exact employee motivation levels will be context-dependant. Factors like individual employee needs, Octopus' organisational culture and procedural mechanisms relating to extrinsic rewards will all affect motivation.

The risk of these factors undermining my conclusion of high employee motivation is small, considering Octopus' decision to publicise its practices. Applying the principles from person-organisation fit theory and attraction-selection-attrition theory, I would expect this decision to increase the proportion of employees whose levels of *nAch*, *nPow* and *nAff* "fit" well with Octopus' practices. In turn, this should increase the proportion of Octopus employees who are highly motivated.

Introduction

This essay will summarise the tenets of expectancy theory, before exploring additional practices the theory might recommend to increase employee motivation at Octopus. In expectancy theory (Vroom, 1964), motivation is a function of individual's cognitive calculations of expectancy, instrumentality, and valence. Expectancy is an employee's perception of the relationship between their effort and performance. Instrumentality is their perception of the performance-organisational rewards relationship. Valence is their perception of the rewards-personal goals relationship, meaning the degree to which organisational rewards satisfy their individual needs. According to Kim (2020), high levels of all three factors are required to motivate an employee.

Expectancy

Expectancy is determined by three factors (MS1, Motivation). One is whether employees believe they have the abilities required to attain their performance goal. Knowing this, Octopus should require a minimum ability level when hiring employees, based on the performance goals it sets. Going further, managers should set goals in proportion to employee ability, such as more ambitious targets for experienced employees with more experiential knowledge. This process could be informed by developing employee profiles based on experience, performance in relation to previous goals, and feedback gauging whether employees perceive their goals to be achievable. Linking to this, the second determinant is whether the performance goal is well-defined, so that employees can estimate the effort level required to achieve it. Therefore Octopus should set precise and quantifiable goals which allow employees to track their progress. To illustrate, a performance target to "increase the number of sales made per month by 10%" should increase expectancy compared to a target to "increase sales by a lot".

To satisfy these determinants, Octopus' managers must create protocols to guide employees when working on their own projects or personal development, to ensure employees set themselves goals which are well-defined and achievable based on their abilities. This is especially important where employees lead their own projects and instruct colleagues. If the leading employee sets unachievable or vague goals, the whole team will have low expectancy thus motivation. The final determinant of expectancy is the predictability of Octopus' performance evaluation system. This will help solidify employees' estimates of the effort required to reach their performance target.

Instrumentality

Instrumentality is determined by the trustworthiness and fairness of the performance-organisational reward relationship, and the extent to which employees understand the relationship (MS1, Motivation). Trustworthiness is within-subject reliability, meaning the consistency of the performance-reward relationship across time periods for one employee. To ensure trustworthiness, Octopus should strictly adhere to a pre-defined set of rules when determining organisational rewards.

This should also ensure employees perceive the performance-reward relationship as fair, which is dependent on between-subject reliability. This means the performance-reward relationship must be consistent across different employees. Expectancy theory might also suggest Octopus' managers should create a system that assesses performance and sets rewards in an objective manner. Removing, or at least reducing, subjectivity from these assessments will also reduce the risk of perceptual bias, which could cause some employees to be treated less favourably than others (Robbins and Judge, 2019). Finally, if performance-rewards relationships are different between subjects, for example based on employee seniority and loyalty as in "lock-step" policies at commercial law firms, Octopus must be transparent about this and provide sufficient justification for these differences. This should reduce any perceived violation of fairness, to which humans are hyper-sensitive (MS1, Motivation).

How well employees understand the performance-reward relationship also determines instrumentality. Therefore as well as applying pre-defined rules in a consistent manner, Octopus' managers should communicate these rules and criteria to employees. This could be achieved through clear company policy communicated in employment contracts, with updates in departmental meetings, or by ensuring managers have the requisite knowledge to answer employee questions regarding the performance-rewards relationship. Linking to the previous points, this communication system should ensure employees are aware in advance of changes to the performance-reward relationship, to minimise adverse effects on perceived trustworthiness or fairness.

Valence

Valence is the extent to which organisational rewards satisfy the individual needs outlined by Maslow and McClelland. Linking the theories together, if employee A has a high *nAch* and *nPow*, rewarding this employee with a promotion should satisfy their individual needs. If employee B has a higher *nAff*, they may not value a promotion as highly because it demands more time away from their families and alienates them from current colleagues. As such, the same organisational reward results in higher valence, thus motivation, for employee A. Here, expectancy theory would say that Octopus can increase employee motivation by tailoring its organisational rewards to each employee.

Each employee having an individual needs-system is a limitation of expectancy theory (Kim, 2020). It seems unrealistic to expect Octopus to offer rewards personalised to each employee. This would be time-consuming and expensive, and could cause issues where one employee believes that they are deriving less valence from their personalised reward in comparison to colleagues. This highlights why organisations use money as a universal motivator to satisfy employees: it requires less cognitive calculation by managers, and is transparent as employees can more easily compare their organisational rewards to colleagues, employees at other organisations and so on.

Concluding Remarks

In conclusion, expectancy theory states that practices which increase the expectancy, instrumentality, and valence of Octopus' employees will increase their motivation. Examples of such practices are outlined in my essay. Octopus should selectively hire and train employees to attain a certain ability level, and set clear performance targets based on these ability levels. This will increase expectancy. Instrumentality is increased by creating a trustworthy and fair organisational rewards system that is clearly communicated. Finally, valence, the degree to which organisational rewards satisfy personal needs, could be increased by Octopus tailoring its rewards to each employee, for example based on *nAch*, *nPow* and *nAff*. However, as discussed, only a certain degree of rewards personalisation is achievable.

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Answer B

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